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Equation	**+55,000**	**+10,000**	=	**+65,000**
(d) Paid rent by cash	–500			–500
Equation	**+54,500**	**+10,000**	=	**+64,500**

Illustration 4

Selvi is a dealer in furniture. Show the accounting equation for the following transactions.

(i) Started business with cash ` 1,00,000

(ii) Deposited cash into bank ` 60,000

(iii) Borrowed loan from bank ` 25,000

(iv) Bought goods and paid by cheque ` 10,000

(v) Cash withdrawn for personal use ` 5,000

(vi) Cash withdrawn from bank for office use ` 3000

Solution

In the books of Selvi

Transaction	Assets				Capital `	Bank loan `
	Cash `	Stock `	Bank `			
(i) Started business with cash	+1,00,000			=	+1,00,000	
Equation	**+1,00,000**				**+1,00,000**	
(ii) Deposited cash with bank	– 60,000		+60,000			
Equation	**+40,000**		**+60,000**	=	**+1,00,000**	
(iii) Borrowed loan from bank			+25,000			+25,000
Equation	**+40,000**		**+85,000**	=	**+1,00,000**	**+25,000**
(iv) Bought goods and paid by cheque		+10,000	–10,000			
Equation	**+40,000**	**+10,000**	**+75,000**	=	**+1,00,000**	**+25,000**
(v) Cash withdrawn for personal use	– 5,000				–5,000	
Equation	**+35,000**	**+10,000**	**+75,000**	=	**+95,000**	**+25,000**
(vi) Cash withdrawn from bank for office use	+3,000		–3,000			
Equation	**+38,000**	**+10,000**	**+72,000**	=	**+95,000**	**+25,000**

Illustration 5

Show the effect of following business transactions on the accounting equation.

(i) Anbu started business with cash ` 20,000; goods ` 12,000 and machine ` 8,000

(ii) Purchased goods from Ramani on credit ` 7,000

(iii) Payment made to Ramani in full settlement ` 6,900